

Calendar Lines 3-4

Case Name: *Adrian Mark Jacobs et al. v. General Motors LLC et al.*

Case No.: 24CV433816

Plaintiffs Adrian Mark Jacobs and Karamjit Kaur Kang (together, “Plaintiffs”) initiated this Song-Beverly Consumer Warranty Act case against defendant General Motors, LLC (“GM”) and Stevens Creek Chevrolet, arising from Plaintiffs’ purchase of a 2022 Chevrolet Bolt that allegedly suffered from a defect in its battery (the “Battery Defect”). GM demurs to the fourth and fifth causes of action in the complaint (for fraud and for violation of the Unfair Competition Law). GM has also filed a motion to strike Plaintiffs’ prayer for punitive damages.

I. BACKGROUND

A. Facts

According to the complaint, on August 14, 2022, Plaintiffs purchased a 2022 Chevrolet Bolt, manufactured and/or distributed by GM (the “Subject Vehicle”). (Complaint, ¶¶ 4, 6.) Plaintiffs purchased the Subject Vehicle at Capitol Chevrolet, GM’s authorized dealer. (*Id.* at ¶ 6.) Plaintiffs allege that they entered a contract with GM containing various warranties as well as setting forth various rights and obligations of both parties. (*Id.* at ¶¶ 7-13.)

GM allegedly became aware of issues with the battery in Chevrolet Bolts in December 2016. (Complaint, ¶ 21.) According to Plaintiffs, GM knew that the batteries could ignite when fully charged or when the charge fell below a 70-mile range. (*Id.* at ¶ 18.) The complaint provides a number of instances from 2015 to 2021 showing GM’s alleged knowledge of Chevrolet Bolt battery defects and its marketing of the Chevrolet Bolt as fully functional in spite of these defects. (*Id.* at ¶¶ 19-33.)

In December 2021, Plaintiffs claim that they received a letter from GM Vice President Steve Hill, an officer, director, or managing agent of GM. (Complaint, ¶ 50.) Hill stated in this letter that GM would provide Plaintiffs with a new battery that did not suffer from defects for the Subject Vehicle. (*Id.* at ¶ 51.) From December 2021 to June 2023, Plaintiffs relied on Hill’s representation and did not sell the vehicle or ask GM to repurchase the vehicle. (*Id.* at ¶ 53.) Shortly after sending an email in June 2023 that GM would replace the battery in the Subject Vehicle, GM allegedly told Plaintiffs there had been a “misunderstanding” and Plaintiffs would not receive a new battery. (*Id.* at ¶¶ 55, 56.)

B. Procedural History

Plaintiffs filed their complaint on March 25, 2024, alleging causes of action for: (1) violation of the Song-Beverly Act for breach of an express warranty; (2) violation of the Song-Beverly Act for breach of an implied warranty; (3) violation of Civil Code section 1793.2; (4) fraud; (5) violation of Business and Professions Code section 17200; and (6) negligent repair. The first five causes of action were asserted against GM; the sixth cause of action was asserted against only Stevens Creek Chevrolet.

On April 24, 2024, GM filed its demurrer to the fourth and fifth causes of action and a motion to strike punitive damages from the complaint. Plaintiffs filed an opposition to both the

demurrer and motion to strike on July 19, 2024. GM filed a reply in support of its demurrer and motion to strike on July 25, 2024.

II. REQUEST FOR JUDICIAL NOTICE

GM has submitted a request for judicial notice. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307 fn. 18, citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

GM requests that the court take judicial notice of the fact that the United States Environmental Protection Agency (“EPA”) estimated that 2020-2022 model year Chevrolet Bolts have a total range of 259 miles, as reflected on the www.fueleconomy.gov website. (Request for Judicial Notice, p. 2.) In support, GM relies on Evidence Code section 452, subdivision (b), which provides that judicial notice may be taken of “regulations and legislative enactments issued by or under the authority of the United States or any public entity in the United States.” GM also relies on Evidence Code section 452, subdivision (h), which provides that a court may take judicial notice of “facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.”

The court denies GM’s request. First of all, EPA estimates are not “regulations” or “legislative enactments” under Evidence Code section 452, subdivision (b). Second, there is no such thing as an “official Web site” provision for judicial notice in California” under section 452, subdivision (h). (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889; see also *L.B. Research & Education Foundation v. UCLA Foundation* (2005) 130 Cal.App.4th 171, 180, fn. 2.) “Simply because information is on the Internet does not mean that it is not reasonably subject to dispute.” (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.) GM’s request for judicial notice is baseless.

III. DEMURRER

A. Legal Standard

As relevant to the instant case, “[t]he party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: . . . [t]he pleading does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc., § 430.10, subd. (e).) A demurrer may be brought by “[t]he party against whom a complaint [] has been filed” to object to the legal sufficiency of the pleading as a whole, or to any “cause of action” stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The court, in ruling on a demurrer, treats it “as admitting all properly pleaded material facts, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. California*

Emergency Management Agency (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. [Citation.] It ‘admits the truth of all material factual allegations in the complaint . . . ; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.’ [Citation.]” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214 (*Committee*), superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.) Evidentiary facts found in exhibits attached to a complaint may also be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

B. Analysis

1. Fourth Cause of Action: Fraud

a) Economic Loss Doctrine

GM argues that the economic loss rule bars Plaintiffs’ fraudulent concealment cause of action because Plaintiffs seek purely economic damages from the purchase of the subject vehicle. (Memorandum of Points and Authorities in Support of Demurrer (“MPA”), pp. 13:25-14:11.) In support of this argument, GM cites *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal. 4th 979, 988 (*Robinson*). GM likewise argues that “emotional injuries incidental to purely economic damages based on fraudulent concealment are also barred by the economic loss rule,” citing *Butler-Rupp v. Lourdeaux* (2005) 134 Cal. App. 4th 1220, 1229 (*Butler-Rupp*). (MPA, p. 14:2-5.)

The court does not find GM’s economic loss arguments to be persuasive.³ California permits recovery of tort damages in certain types of contract cases where the duty giving rise to tort liability “is either completely independent of the contract or arises from conduct which is both intentional and intended to harm,” such as where the contract was fraudulently induced. (See *Erlich v. Menezes* (1999) 21 Cal.4th 543, 552 (*Erlich*).) *Robinson* carves out an exception to the economic loss rule and does not purport to limit the circumstances in which tort damages (economic or otherwise) could be available in contract cases. As already set out in *Erlich*, those circumstances include fraudulent inducement of contract. (See *Erlich, supra*, 21 Cal.4th at p. 552; *Robinson, supra*, 34 Cal. 4th at pp. 989-990 [citing *Erlich* for the proposition that tort damages for fraudulent inducement of contract are not barred by the economic loss rule]; see also *Harris v. Atlantic Richfield Co.* (1993) 14 Cal.App.4th 70, 78 [“when one party commits a fraud during the contract formation or performance, the injured party may recover in contract and tort”].)

The court notes that the California Supreme Court has certified the question presented by the U.S. Court of Appeals for the Ninth Circuit as to whether fraudulent concealment claims are exempt from the economic loss rule. (See *Rattagan v. Uber Technologies, Inc.* (9th Cir. 2021) 19 F.4th 1188, 1193.) That case is still pending in the Supreme Court, and there is no indication as to what (or when) the final ruling may be. Until such time as the high court changes the longstanding and familiar principles set forth above in California law, however,

³ Indeed, GM has repeatedly raised this same non-meritorious, boilerplate argument in numerous demurrers and motions with this court, and the court has consistently rejected it every time.

this court must apply those principles and hold that the economic loss rule does not bar the recovery of tort damages (economic or otherwise) for fraudulent inducement of contract, regardless of whether that inducement was through deliberate concealment or affirmative misrepresentation.

The First District Court of Appeal in *Butler-Rapp* did not address a cause of action for fraudulent concealment, as that case focused on a cause of action for negligent infliction of emotional distress. (*Butler-Rapp*, *supra*, 134 Cal. App. 4th at p. 1231.) While the complaint here does allege that Plaintiffs suffered fear and anxiety from the risk of spontaneous ignition, Plaintiffs also allege, as the demurrer notes, that Plaintiffs suffered damages because they would not have purchased the vehicle or would have paid significantly less for it, but for the alleged concealment. (See MPA, p. 14:7-9.) Plaintiffs' claim for damages is not solely premised on the fear and anxiety they suffered, and they have asserted a cause of action for fraudulent concealment, not negligent infliction of emotional distress.

Plaintiffs also rely upon *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844 (*Dhital*) in opposing the demurrer. (See Plaintiffs' Opposition to Defendant's Demurrer to First Amended Complaint ("Opposition"), p. 4:20-26.) The Supreme Court has granted review of *Dhital*. (See *Dhital v. Nissan North America, Inc.* (Feb. 1, 2023 No. S277568) [523 P.3d 392].) Although this divests the opinion of binding or precedential effect, it may still be cited for "potentially persuasive value." (Cal. Rules of Court, rule 8.1115(e)(1).) This court does find *Dhital*'s holding that the economic loss rule does not bar fraudulent concealment causes of action to be persuasive. (*Dhital*, *supra*, 84 Cal. App. 5th at p. 833 ["We conclude that, under California law, the economic loss rule does not bar plaintiffs' fraudulent inducement claim."].)

b) Duty to Disclose

GM's argument that Plaintiffs do not allege a transactional relationship between the parties sufficient to create a duty to disclose is also unpersuasive. The complaint alleges a direct contractual relationship via the warranty contract signed by Plaintiffs (see Complaint, ¶ 7 ["At the time of sale, General Motors entered into a contract with Plaintiffs . . ."]), and a relationship between two parties giving rise to the duty to disclose "has been described as a 'transaction,' such as that between 'seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.'" (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 349-50, citing *Shin v. Kong* (2000) 80 Cal.App.4th 498, 509.)

GM relies on *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal. App. 5th 276, 311 (*Bigler*) to argue that Plaintiffs have failed to allege a direct relationship giving rise to the duty to disclose. (See MPA, pp. 14:12-16:4, citing *Bigler*.) *Bigler* is distinguishable, as it involved an appeal of a jury verdict, not a pleading challenge, and the decision does not discuss pleading standards at all. (*Bigler*, *supra*, 7 Cal.App.5th at p. 314.) Further, the complaint alleges that Plaintiffs interacted with sales representatives, relied on GM's marketing materials, and purchased the Subject Vehicle from an authorized dealer and agent of GM. (See Complaint, ¶¶ 6, 103.) These allegations contrast with the allegations in *Bigler*, where the manufacturer of a medical device "did not transact with [plaintiff] or her parents in any way. [Plaintiff] obtained her Polar Care device from Oasis, based on a prescription written by [the doctor], all without [defendant's] involvement. The evidence does not show that [defendant] knew—prior to this

lawsuit—that [plaintiff] was a potential user of the Polar Care device, that she was prescribed the Polar Care device, or that she used the Polar Care device. The evidence also does not show that [defendant] directly advertised its products to consumers such as [plaintiff] or that it derived any monetary benefit directly from [plaintiff’s] individual rental of the Polar Care device.” (*Bigler, supra*, 7 Cal.App.5th at p. 314.)

Plaintiffs again rely upon *Dhital* in opposing this argument of GM. (See Opposition, p. 5:7-17.) The Court of Appeal in *Dhital* concluded that plaintiffs sufficiently alleged a duty to disclose on the basis that plaintiffs “bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers.” (*Dhital, supra*, 84 Cal.App.5th at p. 844.)

GM argues in reply that *Dhital* is unpersuasive because the defendant in that case, Nissan, only made a “short” argument on the relevant issue, and the court therefore “did not analyze the issue of a direct, transactional relationship between the parties,” including a failure on the court’s part to consider the “seminal” case of *Bigler*. (Reply, pp. 5:19-6:16.) This court has considered *Bigler* and remains unmoved, given that the case says nothing about the sufficiency of pleadings on a demurrer.

In its reply brief, GM also cites federal case law, which does not control over California law. (Reply, pp. 4:21-5:13; 6:17-7:7.) GM also cites two sections of the California Vehicle Code that, according to GM, require dealerships to be independent franchises. (*Id.* at p. 7:8-14.) It is not clear to the court how these two statutes apply to the issue at hand. One code provision appears to prohibit licensed car dealers from “advertis[ing] for sale, sell[ing], or purchas[ing] for resale a new vehicle of a line-make for which the dealer does not hold a franchise.” (Veh. Code, § 11713.1, subd. (f).) The other requires all car dealers to have a license before selling cars. (Veh. Code, § 11700.) Neither of these addresses the sufficiency of the factual allegations in the complaint (including the potential factual question of agency). The court rejects GM’s argument that Plaintiffs have not sufficiently pleaded a transactional relationship giving rise to a duty to disclose.

c) Failure to Plead with the Requisite Specificity

Defendant also demurs to the fourth cause of action on the ground that the complaint fails to plead fraud (or fraudulent concealment) with the requisite particularity. (MPA, p. 7:6-8.)

“The elements of fraudulent concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if the plaintiff had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage.” (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 348, citing *Bigler, supra*, 7 Cal.App.5th at pp. 310-311.)

As a general rule, each element in a fraud cause of action must be pleaded with specificity. (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519.) In the case of fraud by concealment or omission, however, courts require less particularity because “[h]ow

does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Improvement System & Planning Ass’n., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) “Less specificity is required when ‘it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.’” (*Committee, supra*, 35 Cal.3d at p. 217, citing *Bradley v. Hartford Acc. & Indem. Co.* (1973) 30 Cal.App.3d 818, 825; see also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47 [“the rule is relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts”].)

GM argues that the complaint does not meet these standards, and that the complaint does not contain well-pleaded facts regarding Plaintiffs’ justifiable reliance on any alleged representation and that the complaint fails to plead that the Plaintiffs actually read and relied on the representations. (MPA, p. 9:23-28.)

The court disagrees. The complaint alleges a direct contractual relationship between Plaintiffs and GM, including an express written warranty. (See Complaint, ¶ 7.) Plaintiffs purchased the Subject Vehicle from a dealership authorized to sell Defendant’s vehicles. (*Id.* at ¶ 6.) Plaintiffs allege that the Subject Vehicle exhibited defects, non-conformities, or malfunctions. (*Id.* at ¶ 12.) Plaintiffs allege that GM knew Chevrolet Bolts had issues with their batteries and concealed and failed to disclose facts regarding the Battery Defect at the time Plaintiffs purchased the Subject Vehicle, including by falsely representing the battery’s capabilities in marketing materials and falsely reporting the battery’s capabilities in a public question and answer session. (*Id.* at ¶¶ 19-34, 91-105.) Furthermore, Plaintiffs interacted with GM dealership personnel who at the time of the sale assured Plaintiffs that the Subject Vehicle had a long range and was safe. (*Id.* at ¶ 92.) The safety and functionality of a vehicle “is material to any consumer seeking to purchase that vehicle” and any alleged false marketing of the vehicle’s range and safety “is essential to [a] reasonable consumer’s decision-making process in buying an electric vehicle.” (*Id.* at ¶¶ 37, 93, 98.) Plaintiffs decided to buy the vehicle based in part on the “false and misleading representations” described in the complaint. (*Id.* ¶ 95.) Moreover, “Plaintiffs decided to buy the vehicle based in substantial part on the representations communicated through the Defendant’s marketing material and the representations made by GM’s dealership personnel.” (*Id.* at ¶ 103.) Had Plaintiffs “known the truth” about the Subject Vehicle they would not have purchased it or would have paid significantly less for it. (*Id.* at ¶ 104.)

GM argues that Plaintiffs’ fraud cause of action fails because it is based on EPA estimates. (MPA, p. 12:20-21.) This argument is unavailing, because it relies on extrinsic evidence, including material as to which the court has denied judicial notice. Moreover, the complaint is clear that Plaintiffs do not base their affirmative fraud allegations solely on the alleged misrepresentation of the Subject Vehicle’s mileage range. Plaintiffs allege that “based on Defendant’s advertising . . . Plaintiffs believed the battery [of the Subject Vehicle] could be charged 100 percent and could be charged safely indoors.” (Complaint, ¶ 39.) In addition, GM allegedly knew that there were safety problems and still falsely advertised the safety and functionality of Chevrolet Bolts. For example, the complaint alleges that GM knew material in their marketing brochure was false “because of the reported fires and the previous advisory NHTSA in 2017 warning about charging batteries to 100 percent.” (*Id.*, ¶ 32.) Yet GM allegedly “falsely represented that the subject vehicle [was] safe and functional for normal use.” (*Id.* at ¶ 18.)

Nevertheless, the court does find persuasive GM’s argument that Plaintiffs have failed to plead that GM had knowledge that *the Subject Vehicle* suffered from any defects with its battery. (MPA, p. 10:10-16.) According to GM, the complaint alleges that GM had knowledge of issues with batteries between 2016 and 2020. (*Id.* at pp. 10:10-12, 11:3-9.) But the complaint alleges nothing about any knowledge of ongoing battery issues by the time Plaintiffs purchased the Subject Vehicle in August 2022. Furthermore, the alleged letter from GM’s Vice President Steve Hill in “December 2021” stating that Plaintiffs would receive a “new battery” for their vehicle does not necessarily establish that GM had knowledge of any defects with the Subject Vehicle’s battery. (Complaint, ¶¶ 50-57.) According to GM, Hill sent this letter *after* Plaintiffs purchased their vehicle, and so it cannot be the basis for an allegation that GM fraudulently concealed facts intending to induce Plaintiffs into buying the subject vehicle. This letter is not attached to the complaint, and so the only information about it that is presently before the court is the rather vague description contained in paragraphs 50-57 of the complaint.⁴

Because of the absence of relevant (and coherent) factual allegations contemporaneous with the purchase of the Subject Vehicle, the court SUSTAINS GM’s demurrer to the fourth cause of action with 20 days’ leave to amend.

2. Fifth Cause of Action: Violation of Business and Professions Code Section 17200

The complaint asserts that GM engaged in fraudulent, unfair, and unlawful conduct under Business and Professions Code section 17200, commonly known as the Unfair Competition Law (“UCL”). (Complaint, ¶¶ 106-143.) GM demurs on the grounds that (1) Plaintiffs’ UCL cause of action fails for the same reasons Plaintiffs’ fraud cause of action fails; (2) Plaintiffs do not plead an underlying statutory violation in support of their argument that GM has violated the “unlawful prong” of the UCL cause of action; and (3) Plaintiffs do not reference any established public policy in support of the argument that GM has violated the “unfair prong” of their UCL cause of action. (MPA, pp.16:5-17:24.)

“Business and Professions Code section 17200 et seq. prohibits unfair competition, including unlawful, unfair, and fraudulent business acts. The UCL covers a wide range of conduct. It embraces [] anything that can properly be called a business practice and that at the same time is forbidden by law. [] [Citations.]” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.) “By proscribing unlawful business practices, the UCL borrows violations of other laws and treats them as independently actionable. In addition, practices may be deemed unfair or deceptive even if not proscribed by some other law. Thus, there are three varieties of unfair competition: practices which are unlawful, or unfair, or fraudulent. [Citation.]” (*Blakemore v. Superior Court* (2005) 129 Cal.App.4th 36, 48.)

⁴ The court finds the complaint to be extremely confusing on this point. Although it alleges that Plaintiffs purchased the vehicle in *August 2022*, it also alleges that the Hill letter offering a “new battery” was sent in *December 2021*, which is chronologically impossible. (See Complaint, ¶¶ 6, 50.) While the court recognizes the general rule that it must accept as true the facts pleaded in the complaint (see *Blank v. Kirwan*, *supra*, 39 Cal.3d at p. 318), it cannot be the case that both of these dates are true. It must be that either the car was purchased in *August 2021*, or the letter came in *December 2022*.

Plaintiffs do not address GM’s argument regarding the “unfair” and “unlawful” prongs of their UCL cause of action; therefore, they impliedly concede that these prongs of their UCL cause of action are insufficiently supported. (See *DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue.”].)

Plaintiffs do, however, attempt to rebut GM’s fraud-based UCL arguments by arguing that they have met the pleading standard for their fourth cause of action. (Opposition, 4:8-14.) “The ‘fraud’ prong of [the UCL] is unlike common law fraud or deception. A violation can be shown even if no one was actually deceived, relied upon the fraudulent practice, or sustained any damage. Instead, it is only necessary to show that members of the public are likely to be deceived.” [Citations.]” (*Schnall v. Hertz Corp.* (2000) 78 Cal.App.4th 1144, 1167.) The fraud prong of the UCL is less rigorous than common law fraud, as common law fraud requires allegations of actual falsity and reasonable reliance while fraud under UCL does not. (*Morgan v. AT&T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1256.) An action for fraud under the UCL must be stated with reasonable particularity, which is a more lenient pleading standard than is applied to common law fraud causes of action. (See *Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal. App. 5th 1234, 1261.)

As already discussed, the court finds that Plaintiffs have not sufficiently pleaded fraud. Plaintiffs have failed to allege that GM had specific knowledge that the Subject Vehicle, allegedly purchased in August 2022, contained the battery defects that were documented years earlier. (*Cansino v. Bank of America* (2014) 224 Cal. App. 4th 1462, 1473-1475 [affirming trial court’s decision to sustain a demurrer to a UCL fraud cause of action on the grounds that the UCL failed to state fraud with particularity for the same reason plaintiff’s common law fraud cause of action was not pled with the requisite specificity].)

In short, for the same reason that the court sustains the demurrer to the fourth cause of action, the court SUSTAINS GM’s demurrer to the fifth cause of action with 20 days’ leave to amend.

IV. MOTION TO STRIKE

The motion to strike, which targets only the portion of the complaint’s prayer for relief requesting punitive damages, is DENIED as MOOT, given the court’s ruling on the demurrer. While the court has found that Plaintiffs have failed to plead fraud with particularity, it has not found that Plaintiffs’ fraud cause of action fails as a matter of law, such that leave to amend would be futile.

V. CONCLUSION

The court SUSTAINS GM’s demurrer to the fourth cause of action with 20 days’ leave to amend. The court SUSTAINS GM’s demurrer to the fifth cause of action with 20 days’ leave to amend. The motion to strike is DENIED as MOOT.

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Calendar Lines 5 & 12

Case Name: *Mesfin Regassa Ayle et al. v. Keith Laverne Booth et al.*

Case No.: 19CV360439

I. BACKGROUND

In this wrongful death action, plaintiff Mesfin Regassa Ayle (“Ayle”) and other members of his family (collectively, “Plaintiffs”) have filed suit against the County of Santa Clara (the “County”), the City of San Jose (“San Jose”), the City of Santa Clara (“Santa Clara”), and Keith Booth (“Booth”) for an accident in which Ayle’s father, Regassa Ayle Walkeba (“Decedent”), was struck and killed by a box truck driven by Booth. This occurred on the Central Expressway near San Jose Airport on December 28, 2018.

Plaintiffs filed their original and still-operative complaint on December 18, 2019, stating six causes of action: (1) Negligence (against Booth, his employer (Pathens, Inc.), and various Does); (2) Negligent Hiring, Training, Supervision and Retention (against Booth’s employer and various Does); (3) Negligent Entrustment (against Booth’s employer and various Does); (4) Dangerous Condition of Public Property (against the County, San Jose, Santa Clara, and various Does); (5) Dangerous Condition of Public Property (against various Does only); and (6) Negligence (against various Does only). There are no exhibits attached to the complaint. Plaintiffs’ allegations against the public entity defendants (the fourth cause of action) are based on Government Code sections 835 and 840.2.

The complaint alleges that Decedent was struck while he was “a pedestrian in or near a crosswalk and refuge island area near the intersection of Central Expressway and De La Cruz Boulevard.” (Complaint, ¶ 23.) The complaint alleges in somewhat conclusory fashion that this location was a dangerous condition of public property to pedestrians as a result of: “a. A misleading, confusing, and/or dangerous configuration; b. A misleading, confusing, and/or dangerous refuge island; c. Lack of an adequate refuge island; d. Lack of any or adequate warning signs; e. Lack of traffic control signals; f. Lack of sufficient marked crosswalks; g. Lack of lighting/illumination or adequate lighting/illumination; h. Lack of adequate sight distance; i. Overabundance of visual distractions; j. Lack of adequate speed limitations; k. Unpredictable traffic gaps; l. Abnormally high traffic density; and/or[] m. Lack of devices to allow for safe pedestrian and traffic movement.” (Complaint, ¶ 25.)

The complaint alleges that Decedent’s “encounter” with the dangerous condition was a proximate cause of Decedent’s injuries. (Complaint, ¶ 25.) The complaint’s first cause of action also alleges that Booth’s negligence was a proximate cause of Decedent’s injuries. (Complaint, ¶ 36.)

The County filed an answer to the complaint on March 6, 2020, Santa Clara filed an answer on March 24, 2020, and San Jose filed an answer on March 30, 2020. Booth and Pathens, Inc. filed a joint answer on May 6, 2020.

Currently before the court are two motions for summary judgment. The first, by the County, was filed on April 8, 2024. The second, by San Jose, was filed on May 2, 2024. Both motions were originally set for hearing on different dates before the court reset them for August 1, 2024. Plaintiffs filed their separate oppositions to these motions one day late, on